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BUSINESS • EARNINGS

Intuitive Surgical Profit Rises 7%

Medical-device maker to retire \$2 billion worth of stock under accelerated program

By Maria Armental

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Intuitive Surgical Inc. [ISRG 1.51%](#) ▲ reported a double-digit revenue increase in the most recent quarter while profit, up year over year, declined sequentially as the medical device maker ramps up spending.

The Sunnyvale, Calif., company also said it had entered into an accelerated share-buyback program with Goldman Sachs to retire \$2 billion worth of stock. The company has a market value of roughly \$26 billion.

Shares, up 18% over the past 12 months, rose 2% to \$680.94 in after-hours trading as results largely beat projections.

Over all, fourth-quarter profit rose 7% to \$204 million, or \$5.13 a share. Excluding stock-based compensation and other items, profit rose to \$6.09 a share from \$5.89 a share a year earlier.

Revenue, as the company had previously reported, rose 12% to \$756.9 million.

Gross profit margin improved to 69.7% from 67.8% a year earlier.

Operating costs rose 23% to \$262.8 million.

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Maria Armental covers private equity for The Wall Street Journal, with a focus on tech and health. Her coverage examines a wide-ranging and influential industry and some of its top dealmakers.

Before joining the Journal, Maria was a reporter for the Providence Journal....

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